Check for updates

Article

Organization Studies
2022, Vol. 43(3) 321–345
© The Author(s) 2021
Article reuse guidelines:
sagepub.com/journals-permissions
DOI: 10.1177/0170840621993236
www.egosnet.org/os
SAGE

Watered Down: Market Growth, Authenticity, and Evaluation in Craft Beer

Jo-Ellen Pozner
Santa Clara University, USA

Michaela DeSoucey
North Carolina State University, USA

J. Cameron Verhaal
Tulane University, New Orleans, USA

Katarina Sikavica
University of Zurich, Switzerland

Abstract

Research in organizational theory suggests that category-spanning organizations typically suffer penalties in evaluations, as consumers downgrade producers they see as violating authenticity norms. We challenge this view by linking two heretofore separate insights: first, that categorical boundaries erode as categories become taken for granted and, second, that consumers in a given category tend to become more heterogeneous as their numbers increase. We argue that newer consumers employ diverse evaluative schemata and rely less on established conceptions of authenticity than do veterans, leading to more generous evaluations as the ranks of consumers grow. Using the canonical case of craft beer, we test the effect of audience growth on consumer evaluations, particularly when producers violate categorical authenticity norms. Our analysis of an original dataset of more than 1.2 million unique ratings of craft beers from a popular online forum finds both that overall beer ratings increase and that penalties to authenticity norm violations attenuate as the number of new reviewers participating in the evaluative process rises. These results refine our understanding of shifting demands for categorical purity, conceptions of authenticity, and consumer evaluations as functions of market growth.

Keywords

authenticity, authenticity norm violations, categories, consumer evaluation, craft beer, diffusion, economic sociology, identity movement, organizational ecology, specialist market dynamics

Corresponding author:
Jo-Ellen Pozner, Santa Clara University, 500 El Camino Real, Santa Clara, CA 95053, USA.
Email: jpozner@scu.edu

Authenticity—the idealized expectations by which audience members judge an organization's or object's character, genuineness, credibility, and appropriateness (Carroll & Wheaton, 2009; Demetry, 2019; DeSoucey & Demetry, 2016)—is consequential to both consumer evaluations and firm performance (e.g., Hsu & Hannan, 2005; Hsu, Hannan, & Koçak, 2009; Negro, Hannan, & Rao, 2010; Zuckerman, 1999). Authenticity claims, built on traits like organizational form or origin, foster special connections between producers and consumers (Beverland & Farrelly, 2010; Bhattacharya & Sen, 2003; Hahl 2016), motivating consumers to pay price premia (Currid-Halkett, 2017; Ravasi & Rindova, 2008). Specialist producers, particularly those embodying an "anti-mass-production cultural sentiment" (Carroll & Swaminathan, 2000), depend on sharply-defined authenticity claims to valorize their offerings and differentiate themselves from generalists (Pedeliento, Andreini, & Dalli, 2020; Peterson, 1997; Weber, Heinze, & DeSoucey, 2008).

Despite its benefits, authenticity constrains organizational action: narrow identities mean specialist producers are likely to be penalized for categorical violations, especially when product and producer authenticity are tightly connected in evaluators' minds (Carroll, Dobrev, & Swaminathan, 2002). Across domains, attributions and evaluations of specialists' *raison d'être* hinge on audience members' perceptions, opinions, and actions as they encounter organizations and compare experiences to authenticity claims (Carroll & Hannan, 2000; Hannan et al., 2019; McKendrick & Hannan, 2014). In various arenas, vigilant and motivated consumers sanction discernible violations with lower evaluations (Carroll & Swaminathan 2000; Pólos, Hannan, & Carroll, 2002), facilitated by the proliferation of online rating and review websites, themselves saturated with the language of authenticity (Frake, 2016; Lehman, Kovács, & Carroll, 2014; Verhaal, Khessina, & Dobrev, 2015).

Current thinking about the interplay between authenticity and evaluation implicitly assumes that specialist consumers understand both germane categorical authenticity codes and appropriate penalties for violations (Carroll et al., 2002; Carroll & Swaminathan, 2000; Hsu & Hannan, 2005). In practice, however, the power of categorical distinctions hinges on multiple factors, including audiences' attention to the boundaries delineating specialists and their proffered qualities, motivations to penalize violations, and the schemata they invoke to categorize firms and assess authenticity norms (Durand & Paolella, 2013; Frake, 2016; Lehman, O'Connor, Kovács, & Newman, 2019). Scholarship has yet to explore the impact of audience dynamics on those factors or, especially, how audience growth might affect evaluations of categorical authenticity.

We propose a novel take on authenticity evaluations, recognizing that both audiences and markets change as they grow. While vigilant consumers may sniff out producers and products that violate particular norms (Frake, 2016; Sikavica & Pozner, 2013; Verhaal, Hoskins, & Lundmark, 2017), not all will always do so to the same degree. Consumers vary in their willingness and ability to penalize authenticity violators based on differences like market identity (Gaytán, 2019; Pontikes, 2012), cultural identity (Goldberg, Hannan, & Kovács, 2016; Kovács & Sharkey, 2014), adherence to institutional logics (Battilana & Dorado, 2010; Beck & Wezel, 2012), and geographical location (Beck, Swaminathan, Wade, & Wezel, 2019). Here, we argue that simple growth in the consumer base may change the degree of vigilance around categorical boundaries, reducing the penalties to violations. We argue that for specialist products, audience growth accelerates the erosion of categorical boundaries and increases heterogeneity among evaluators, weakening existing schemata for evaluating authenticity, engendering changes to evaluations of quality, even in the presence of violations.

We situate our argument within the empirical case of the United States craft brewing industry, a fast-growing market with vibrant online evaluation forums. This field has been widely studied by organizational ecologists, largely because it has strict categorical norms around production methods, volume, and ownership rules, which are enforced by the Brewers Association. The initial formulation of ecologists' models relied on the idea that a growing identity movement of craft beer

drinkers—a similarly-minded collective striving to change what is valued in a field through opposition to dominant cultural codes (Rao, Monin, & Durand, 2003)—drove early specialist brewer proliferation (Carroll, Preisendoerfer, Swaminathan, & Wiedenmayer, 1993; Carroll & Swaminathan, 2000). Recent research in other empirical domains, however, demonstrates that categorical boundaries often blur as categories become taken for granted (Hsu & Grodal, 2015; Hsu, Hannan, & Pólos, 2011). Marrying these insights, we investigate how the vigilance with which consumers police the boundary between craft and industrial brewers is affected by the category erosion caused by growth in their numbers.

We further argue that as a specialist market grows, it likely attracts relatively inexperienced consumers less concerned with upholding authenticity norms and thus more generous in evaluations (Lena, 2012; Verhaal & Dobrev, 2020). The diffusion literature shows that new market participants hold different motivations, expectations, and evaluative concerns from early enthusiasts (e.g., Bass, 1969; Rogers, 1962 [2010]). Thus, growth in the number of craft beer drinkers will not necessarily reinforce categorical boundaries, leading to stronger audience sanctions (e.g., Kovács & Sharkey, 2014; Pontikes, 2012; Zuckerman, 1999); instead, the heterogeneity that accompanies this growth will attenuate the penalties assigned to authenticity violations (Grodal, 2018).

We leverage a unique dataset comprising over 1.2 million online ratings on the most popular amateur beer reviewing forum, *BeerAdvocate.com*, between 1996 and 2012 to refine and extend research findings that authenticity violations at the organizational level engender lower product ratings (Barlow, Verhaal, & Hoskins, 2018; Frake, 2016; Negro et al., 2010, 2011). We find both that overall evaluations increase and that penalties for specialists' authenticity violations diminish as the ranks of evaluators grow. Our analysis further reveals that new reviewers drive this trend, suggesting it is growth in evaluators' numbers, rather than changes in prevailing perceptions, that water down the power of authenticity as a driver of category maintenance. This suggests an important boundary condition to categories research, which thus far does not account for shifts in authenticity concerns that accompany category growth. Our findings thus have implications for research at the nexus of market evolution, evaluation, and authenticity.

Theory and Hypotheses

The craft brewing niche in the United States emerged in reaction to dense concentration among generalist brewers (Carroll, 1985). It began as an identity movement supported by anti-mass production sentiments alongside regulatory changes that opened the market (Carroll et al., 2002; Dobrev, Kim, & Hannan, 2001). Craft brewers framed their organizational form and production methods as alternative and authentic, appealing directly to the preferences of consumers thirsty for niche products (Carroll & Swaminathan, 2000; Greve, Pozner, & Rao, 2006; Koontz & Chapman, 2019). Many craft breweries, characterized by diverse brewing techniques and small-scale operations,[1] were founded throughout the 1990s (Carroll & Swaminathan, 2000; Chapman, Lellock, & Lippard, 2017). In the ensuing decades, the market underwent tremendous growth—from about 1,500 breweries in 2000 to over 7,000 in 2018— bringing greater visibility and attracting significant numbers of new drinkers.

Consumers played a critical role in craft beer's emergence as a distinct category. Early identity movement participants believed only small-scale specialists could make unique, high-quality products using craft techniques they saw as imbued with symbolic value (Ocejo, 2017). Because they use their consumption choices as expressive, status-conveying acts (Currid-Halkett, 2017), these drinkers' identity-related motivations led them to interrogate and monitor producer motives and to penalize authenticity code violators (Carroll et al., 2002; Carroll & Swaminathan, 2000). This ensured the niche's purity and reinforced its differentiation from industrial brewers (Hannan,

Polós, & Carroll, 2007). Carroll and Swaminathan (2000, pp. 728–9) explained that this is why "a crestfallen look comes on the perfectly content beer drinker when told that the specialty beer being consumed actually comes from a major brewing corporation." Early theorizing about this niche also assumed authenticity violations would come from industrial brewers masquerading as craft—not specialists pushing categorical boundaries (see Frake, 2016)—such that violations would engender uniformly negative reactions. Recent work in other settings, however, has focused on consumers' responses to products and producers that span or muddy categories, suggesting that audiences generally see as legitimate and reward organizations that adhere to or align with categorical authenticity norms and their attendant expectations (Durand & Khaire, 2017; Hannan et al., 2007; Ren, 2021), while negatively appraising violators (Hsu & Hannan, 2005; Negro et al., 2011; Zuckerman, 1999).

Although much of the research on categorical authenticity and evaluations has been conducted at the firm level, a brewery's authenticity is not detached from what it produces. This logic adheres in other craft fields, where products are interfaces connecting producers and consumers, and where producers' identities intertwine with the meanings and rubrics that consumers tend to ascribe to products (Grayson & Martinec, 2004; Ocejo, 2017; Verhaal et al., 2015). Just as consumers evaluate a restaurant's authenticity through its dishes (DeSoucey & Demetry, 2016; Luca, 2011), they evaluate a brewery's authenticity through its beers. This is borne out by both Frake (2016) and Barlow et al. (2018), who found that authenticity norm violations at the brewery level led to discounted evaluations of individual beers.

Category erosion and evaluation

The primary means by which organizations deviate from categorical expectations is by spanning categories—exhibiting definitional qualities of more than one category. Such firms and their products may attract larger audiences, but often seem less appealing to devotees (Hannan et al., 2019; Hsu, 2006; Zuckerman, Kim, Ukanwa, & Von Rittmann, 2003). Audiences often find boundary-spanning products more difficult to understand (Rao, Monin, & Durand, 2005; Zuckerman, 1999), in part because producers cannot fully appeal to the needs and wants of heterogeneous groups of consumers (Hannan, Carroll, & Pólos, 2003; Hsu et al., 2009). Such producers actually diminish the entire category's contrast and appeal, as evaluation becomes knottier and reduces intersubjective understanding (Negro et al., 2010; Siltaoja et al., 2020). If demands for categorical purity consistently induced strong reactions, however, few would span categories (Durand & Paolella, 2013); instead, categorical impurity is sometimes penalized (Beck et al., 2019) and other times rewarded (Goldberg et al., 2016; Wry, Lounsbury, & Jennings, 2014).

Whether category spanning is rewarded is partly a function of evaluator characteristics. Among individual dimensions relevant to categorical authenticity are their position within a market (Pontikes, 2012), their cultural identities and associated preferences (Goldberg et al., 2016), the institutional logics to which they subscribe (Battilana & Dorado, 2010; Beck & Wezel, 2012), and their geographical location (Beck et al., 2019). Beck et al. (2019), for example, found that Bavarian beer drinkers are more likely to penalize perceived authenticity violations by brewers in the communities at the geographic center of an industry cluster, the place most associated with local brewing norms. In contrast, the further a brewery sits from that center, the less likely local drinkers are to penalize deviations.

Just as consumers vary, so too do their interpretations of what makes the essential features of a particular category authentic, particularly as it develops. Emerging categories lack clear rules, and collective understandings of their boundaries are often vague (Hannan et al., 2007). As they take shape, the meaning of categories' features is refined through comparison and contrast to other

categories (Durand & Paolella, 2013; Pontikes, 2012). Intersubjective agreement on categorical authenticity can take time to solidify (Rao et al., 2003) and requires formalization through standards or production rules (Sikavica & Pozner, 2013) as well as scrutiny and enforcement (Hannan et al., 2007). As consumers' understanding of a category develops, however, the degree of scrutiny to which they subject it declines (Hsu & Grodal, 2015; Hsu et al., 2011). That is, once an understanding of category membership and distinctiveness has solidified, even become taken-for-granted, consumers would tend to minimize or overlook differences among members (Rosa, Porac, Runser-Spanjol, & Saxon, 1999; Zerubavel, 1996); consequently, the more institutionalized a category, the less vigilant evaluators are about firm-level authenticity. Thus, ironically, once categorical delineations are reified, they may be subject to erosion due to a lack of attention to their boundaries, leading to lax enforcement.

Category growth and consumer heterogeneity

That boundaries can erode as the category matures is consistent with prior research on diffusion (e.g., Bass, 1969; Rogers, 1962 [2010]). Early adopters of products and practices are typically motivated by locally rational needs—specific management challenges, for example (Westphal, Gulati, & Shortell, 1997)—but as numbers grow, conformity to institutional norms overtakes other considerations (see Kellogg, 2012; Meyer, Ramirez, & Soysal, 1992; Tolbert & Zucker, 1983). Likewise, the characteristics of those adopting diffusing trends, from managerial practices to music genres, change as they gain hold in popular culture. Practices initially supported by institutional outsiders, who are critical to defining oppositional categories, can gain adherents as they move beyond that group and become more accessible to those with mainstream tastes (Leblebici, Salancik, Copay, & King, 1991; Lena, 2012, 2015). This is observable in craft brewing, as the proportion of US beer drinkers who regularly choose craft beers reached 40% in 2018. This implies a more diverse consumer base, enabling a watering down of the purity of early producers' identities (Koontz & Chapman, 2019), such that craft and industrial brewers' delineation has become increasingly tenuous. Aficionados have observed this mainstreaming and its subsequent impurities, such as laments of "RIP Craft Beer"[2] around Sam Adams' 2019 acquisition of Dogfish Head Brewery, the 13th largest US craft brewer. This strongly suggests that category erosion accompanies audience heterogeneity.

As the number of consumers evaluating products grows beyond the earliest adopters, heterogeneity implies that the motivations, interests, and concerns that guide evaluative schemata will differ as well (Cruz, Beck, & Wezel, 2018; Durand & Paolella 2013; Hsu & Grodal, 2015; Kovács & Sharkey, 2014). Newcomers' more mainstream, less rigid tastes are likely to induce laxer evaluative standards as the category grows (Hsu & Grodal, 2015; Sikavica & Pozner, 2013; Verhaal & Dobrev, 2020). This does not imply that the disparity between early and late adopters is one of discernment acquired through accumulated experience of comparable products over time, but rather that their lenses will reflect prevailing norms when they took up consumption (Kovács & Sharkey, 2014). As a baseline, therefore, we expect that more reviewers evaluating a given brewery's beer will result in higher average evaluations of beer quality. Moreover, as more consumers engage, their increasingly heterogeneous evaluative schemata will further contribute to the erosion of categorical boundaries (Rosa et al., 1999).

One might argue that the relationship between market growth and consumer evaluation is due not to the use of different schemata, but rather to new reviewers' relative inexperience with, or aversion to, the category itself. According to the logic of the first alternative, newcomers become more discerning as they learn the conventions, making their evaluations increasingly similar to those of incumbents. Were that true, we would see average scores decrease as the number of

evaluations increase, exacerbated by new reviewer numbers. Instead, we expect that reviewers' evaluations, reflective of notions of categorical appropriateness, will not change as they gain experience, but rather that new consumers progressively change the market's center of gravity over time, eventually overwhelming the voices of more experienced consumers.

Following the second alternative, products may be downgraded when they attract consumers unfamiliar with and potentially averse to a niche. As Kovács and Sharkey (2014) observed, for award-winning books of particular genres, average ratings *decreased* as reviewer pools grew following publicity around the awards. In that case, more reviewers led to a decrease in ratings because new evaluators would not have been attracted to the genre were it not for the award based on their pre-existing consumption patterns. In contrast, craft beer began as an oppositional market predicated on a strong, anti-mass production identity (Carroll & Swaminathan, 2000), such that those who become reviewers have already bought into the niche, even if for different reasons. Consequently, we do not expect to replicate Kovács and Sharkey's (2014) findings.

Taken together, this logic suggests that with greater numbers of new reviewers come positive shifts in average evaluations. The erosion of categorical boundaries that accompanies niche maturation, combined with increased heterogeneity in the consumer pool, leads to a counter-intuitive phenomenon: rather than becoming more alike, consumers' concerns diverge as the number of consumers grows. We predict that this will lead to the concurrent watering down of categorical norms and more generous evaluations.

H1. The more new consumers interacting with a given craft brewery, the higher the evaluation of its beers.

Changing evaluations of authenticity violations

Perhaps the clearest dimension along which differences among reviewers' evaluative schemata may manifest is in their treatment of authenticity violations. Because knowing about idiosyncratic or obscure beers reinforced early adherents' identities as discerning, adventuresome, and anti-establishment (Carroll et al., 2002; Carroll & Swaminathan, 2000), they penalized brewers for violating authenticity and perceived integrity. Nevertheless, research in other arenas demonstrates that categorical authenticity concerns differ based on prevailing understandings when novice consumers embrace a given product (Lehman et al., 2019). For musical genres, for example, Lena (2012, 2015) and Bennett (2013) note young and older punk fans have fundamentally distinct ideas of what qualifies as authentic punk. Older fans' notions of authenticity are tied to particular songs from the early punk era, whereas those of young fans channel a spirit that is, "to some extent, grounded in issues of time and place" (Bennett, 2013, pp. 123–4). This brings an important temporal dimension to the idea that authenticity is defined contextually (Peterson, 1997).

Because those who join a more mainstream niche are unlikely to share identity concerns and grievances with early adherents, they are also likely to react to categorical authenticity violations differently. Penalties are conditional on audiences' relative knowledge and interest in categorical integrity (Durand & Paolella, 2013); as their scrutiny to category boundaries relaxes (Siltaoja et al., 2020), the weight of authenticity concerns in evaluations shifts. As Beck et al. (2019, p. 2983) suggest, "evaluative schema regarding the appropriate characteristics of the 'typical' organization will become less sharp." Thus, while the Brewers Association defines categorical authenticity norms clearly—annual production under 6 million barrels, typically small-scale and localized, no adjunct ingredients (such as rice instead of barley), and no more than 24 percent owned by an entity that is not itself a craft brewer—newer, heterogeneous audiences' ideas about authenticity are likely to be, at best, diluted versions of those articulated by early, zealous identity movement participants. This

can enable specialists to extend the original category beyond the very organizational forms and identity codes that initially enabled their proliferation.

Indeed, anecdotal evidence suggests that while some craft beer drinkers still balk at beers produced by industrial brewers, a more flexible, less fanatical consumer has entered this maturing space, even in locales where specialist markets had been strong. For example, two significantly scaled-up craft brewers (Sierra Nevada and New Belgium) recently opened production facilities in Asheville, North Carolina, home to several dozen locally-owned craft breweries. Despite expectations, Asheville's craft beer lovers have welcomed these arrivals (Bland, 2014), suggesting that social visibility and acceptance may presage diminished scrutiny of categorical boundaries, consistent with previous work (Hsu & Grodal, 2015; Hsu et al., 2011).

We expect that as the number of new consumers in the market grows, the degree to which inauthentic producers will be sanctioned decreases. Increased evaluator heterogeneity will moderate the relationship between producer authenticity violations and product evaluations. This shift will have a sharp effect on evaluations of producers that violate authenticity norms by, as a primary example, "selling out" to an industrial brewer (Frake, 2016). Because novice reviewers become familiar with the category after its definition has become taken-for-granted and the scrutiny to which it is subjected diminished (Zerubavel, 1996) and because producers adjust to consumers' shifting preferences (Demetry, 2019; Le Mens, Hannan, & Pólos, 2015), newer craft beer drinkers are likely to have less regard for categorical purity norms or authenticity codes, and the penalty to inauthenticity will diminish. Moreover, as their ranks grow, newcomers will increasingly determine normatively appropriate responses to producer authenticity violations.

Thus, the slackening of vigilance around categorical purity is likely a function of integrating novel consumers, for whom authenticity assumes different meanings, into the reviewer pool. It is neither that earlier adherents' tastes shift nor that the gross number of reviewers leads to an attenuation of inauthenticity penalties. Rather, it is heterogeneity introduced at the very moment that category erosion relaxes vigilance around norms of authenticity, that begets smaller penalties to authenticity violations. We thus predict:

H2. The more new consumers interacting with a given craft brewery, the less its authenticity violations will be penalized through evaluation of its beers.

Data

Empirical setting: US craft beer

We test our hypotheses on a dataset constructed from online product ratings—specifically, craft beer evaluations—between 1996 and 2012. While craft breweries must produce less than 6 million barrels of beer annually (by Brewers Association edict), the industry further subdivides into two segments: brewpubs and microbreweries that produce less than 15,000 barrels and regional breweries that produce between 15,000 and 6 million barrels annually. According to the Brewers Association, both segments are considered "craft."[3]

This industry has expanded considerably in recent decades, across the United States and elsewhere (Chapman et al., 2017; Cruz et al., 2018). In the second half of the 20th century, the US beer industry was dominated by several mass production breweries that survived both Prohibition and the diversion of grain to the 1940s war effort, resulting in consolidation and beer homogeneous both in taste and manufacturing technology (Yenne, 2003). By the early 1970s, 44 brewers operated 89 breweries nationwide. In the late 1970s, a surge of interest in craft brewing spawned a specialist niche, as the removal of post-Prohibition excise taxes and the weakening of restrictive

production and distribution laws created spaces for innovation on the market's periphery (Carroll & Swaminathan, 1991; Wade, Swaminathan, & Saxon, 1998).

The craft beer market grew in earnest in the early years of the 21st century. While there were only eight active craft breweries in 1980, there were 2,400 by 2013 and 5,000 by 2016. The Brewers Association first issued craft guidelines only in 2006. Though craft breweries still capture a small portion of the total US beer market, that percentage doubled from 6.5% of total beer sales in 2013 to 12.3% in 2016, representing billions of dollars. Increasing varieties and makers of craft beers are now available at many supermarkets and restaurants. Local support for craft brewing has helped small breweries thrive despite a relative lack of capital and geographically limited distribution areas (Borer, 2019; Chapman et al., 2017).

As it grew, craft brewing established a distinct identity, defined largely in terms of production techniques, community ties, and heterogeneous flavors. Craft brewers market themselves in opposition to mass producers and products, instead celebrating creativity, originality, and experimentation (Mathias, Huyghe, Frid, & Galloway, 2018; Verhaal et al., 2015). They frequently sport offbeat beer and brewery names (Barlow et al., 2018) and produce a wide variety of beers with unusual ingredients, such that variety and playfulness have themselves become authenticity markers, even among the smallest microbreweries.

Although craft brewers' identities imply rejection of corporate ownership (Mathias, Huyghe, & Williams, 2020), industrial brewers have entered this market through both imitation and cooptation, often controversially obscuring their involvement (Strom, 2013; Wilson, 2012). Imitation comes in the form of experimenting with new ingredients or using particular names and labels to evoke craft imagery. For example, Blue Moon—a beer that is often categorized under the "craft" heading on bar menus—is owned by MillerCoors, yet this connection is absent from its packaging and website. Cooptation occurs via the acquisition of established craft breweries or through alliances developed within national and international beverage distribution infrastructures. For instance, Goose Island—a Chicago mainstay craft brewpub founded in 1988—is now distributed across the country and even exported. In 2011, the brewery sold a 42% stake to Anheuser-Busch InBev for $16.3 million (Noel, 2018) and no longer qualifies as craft; its label now reads "brewed and bottled in Baldwinsville, NY" without reference to Anheuser-Busch.

Among craft beer drinkers, recent reactions to mass producers' attempts to dodge this "inauthenticity discount" (Frake, 2016) have been mixed. Journalists report that while some bemoan the acquisition of small-batch breweries, others seem unbothered (Leonard, 2012; Morris, 2013; Strom, 2013; Wilson, 2012). Those who criticize this incursion highlight the importance of production scale, process, and independent ownership. Some market participants and researchers alike see scale as especially critical to craft brewer authenticity (Barlow et al., 2018; Frake, 2016). For example, the brewer-owner of Bison Organic Beer in Berkeley, CA told an NPR reporter (Bland, 2014):

> To me, craft means artisan. Once an enterprise scales up, the beer is no longer craft. It becomes a brand with lots and lots of employees, and you can't point to a small team of individuals who are responsible for the art.

Others focus on the importance of ownership in making attributions of producer authenticity in a way that transcends scale. In the same NPR story, the founder of Lagunitas said, "Even if we grow to be a 10-million-barrel brewery, my brewery will not resemble that of a big brewery."

Were changes to producer form and identity obvious to casual consumers, we would not expect our hypotheses to hold. Instead, the lack of transparency around generalist producers entering the market has made it difficult for consumers to accurately recognize and evaluate

producer authenticity. The labeling (and pricing relative to unmistakably industrial beers) of beers like Blue Moon and Goose Island, as well as the undisclosed nature of distribution agreements, demonstrates that consumers may have to dig for such information. Craft brewers have an interest in retaining the barriers associated with the identity that enabled their emergence and market viability in this competitive landscape, leading the Brewers Association to launch an educational campaign called "craft versus crafty" in 2012. This campaign called for transparency in brand ownership and for "passionate beer lovers" to take time to familiarize themselves with breweries' practices to be able to make "informed" choices.[4]

Popular reporting also suggests that craft beer has been embraced by consumers who now prefer certain tastes and flavors (e.g., hoppy, spicy, malty) and are less interested in producers' foundational definitions of authenticity (e.g., Strom, 2013; Taylor, 2017). While some consumers may be deeply concerned with authenticity claims and feel "duped by the large brewers" (Wilson, 2012), market growth likely attracts many simply happy to see a variety of beers more widely available. This segment likely interprets questions of authenticity quite differently than entrenched enthusiasts, and thus is a key driver of our theoretical suppositions and hypotheses.

Data and measures

To test how shifting perceptions of breweries' authenticity inform product evaluations, we use ratings of beer taken from the online consumer rating and review website, *BeerAdvocate* (www.beeradvocate.com). *BeerAdvocate* was founded in 1996 and captures data on quantitative ratings and qualitative reviews of over 83,000 different beers from around the world, including rarities, representing a detailed corpus of shifting consumer sentiments over nearly two decades. As of January 2013, just after the end of our observation window, it had 2.7 million discrete reviews written by 25,974 unique users; the average number of ratings per reviewer was 45.6, with a maximum of 3,960 ratings (comparable to the range and distribution of reviews on similar websites). In 2013, *BeerAdvocate* clocked an average of 25 million page views monthly from 2.5 million discrete visitors. Any user can create an account to rate and review beers listed in its database; the website's "how to review a beer" guide teaches novices the site's conventions of scoring and reviewing. Raters judge and can comment on beers across four specific dimensions (look, smell, taste, and mouthfeel) on a 1-to-5 scale and provide an overall score. The site represents a community of consumers who identify as serious about the details of craft beer, allowing us to look at the effects of inauthenticity on the precise audience for which these products are targeted (see Figure 1). These value ratings denote conjoint product and producer appeal (Kovács & Hannan, 2015), shaping consumer choices and impacting organizational positioning, reputational management, and market dynamics (Luca, 2011).

We restrict our analysis to US breweries producing less than 6 million barrels per year (i.e., those the Brewers Association categorizes as craft). Our dataset contains the entire population of ratings of these breweries' beers added to the *BeerAdvocate* website from January 1996 to May 2012, capturing broad swaths of consumers at different temporal stages of the market. Our unit of analysis is the individual beer, which we measure by year, enabling us to update the time-varying covariates appropriately. We aggregate at the level of beer-year, instead of brewery-year, for several reasons. First, our data are beer reviews, not brewery reviews, and aggregating at the beer-year level allows us to cluster robust standard errors at the level of the beer. Doing so also allows us to account for past research showing that within this community, different styles of beer can have dissimilar baseline levels of appeal (Barlow et al., 2018). Finally, research shows that consumers view products as proxies for producers especially in craft-based industries and that authenticity violations at the firm level lead to lower reviews of individual products (e.g., Frake, 2016; Negro et al., 2010, 2011).

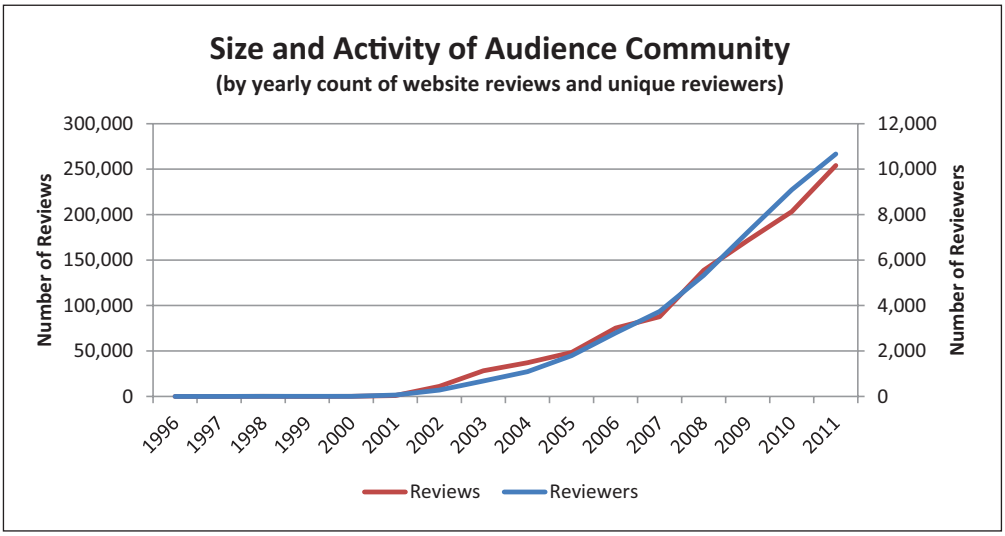


Figure 1. Growth in the Audience Side of Online Craft Beer Market.

A beer entered our dataset in the year in which it is first rated and remains in the dataset during years in which it is rated and reviewed at least once; ratings for beers evaluated more than once a year are averaged across those from that year. Because we lag all time-varying variables by one year, we lose all beers with single-year observations and all records in the last observation year for all other beers. The final dataset used in all analyses presented consists of 45,253 annual beer records, which represent 18,044 unique beers produced by 1,558 brewers.

Dependent variable. Our dependent variable is *Beer Appeal*. As mentioned above, individual reviewers assess a beer on a rating scale of 1 to 5 (in increments of 0.25) based on look, smell, taste, and mouthfeel. For each review of any beer, we calculated the average of users' quantitative scores, then aggregated all ratings for each beer each year, and calculated the beer's average rating score for that year. The resulting measure is a time-varying, continuous variable ranging from 1 to 5.

Independent variables. We test hypothesis 1 by measuring *Brewery New Reviewer Count*, a yearly count of all first-year reviewers who reviewed a given brewery's beers. First-year reviewers are identified as those who joined the website in the same year as the focal beer-year observation. Because our theory is built on specialist market change as a function of the growing number of new consumers (to the extent that they express their tastes and perceptions), it is important to account for differences in the experiences of a brewery's reviewers.

Next, following Beck et al. (2019) and Ody-Brasier and Vermeulen (2014), we recognize several dimensions along which breweries can violate categorical authenticity norms. Those relevant in this case include (1) independent ownership, (2) traditional ingredients without adjuncts (such as unmalted grains), (3) small-scale production, and (4) solely internal (versus contracting out) production. To test hypothesis 2, we constructed the variable *Craft Brewery Violator*, ranging from 0-3 depending on a brewery's number of identity violations.[5] All breweries in the dataset conform to the scale of craft production guidelines, so we do not include this as a violation. Rather, we control for production volume to rule out alternative explanations based on size and scale. This measure is then interacted with *Brewery New Reviewer Count.*

Finally, while not formally hypothesized, we calculated *Brewery Total Reviewer Count* as the cumulative number of unique reviewers reviewing any beer for the focal beer's brewery. This measure accounts for the overall numeric growth of consumers in the larger craft beer market and identifies the degree to which consumers are exposed to a given brewery over time. It serves as an important control and baseline leading up to hypothesis 1. As a result, we include models that both include and exclude this measure (also because this measure is correlated with our primary independent variable for hypothesis 1, and we wanted to rule out autocorrelation between these variables). We measure the cumulative count of reviewers for the brewery as a whole (rather than a specific beer), again following scholarship showing perceptions of authenticity between a beer and a brewery are inextricably linked in guiding perceptions of quality.[6]

Control variables. To account for the effects of product, firm, and industry characteristics, we include several controls. Unless otherwise noted, all are time-variant variables, updated annually and lagged one year.

Product controls. To control for the cognitive association with industrial beers, which has been shown to dampen beer appeal among specialist consumers (Barlow et al., 2018), we constructed the variable *American Lager Dummy*, a time-invariant dummy that takes the value of 1 if a given beer's style is in the stigmatized American lager category (American Adjunct Lager, American Red Lager, American Imperial Pilsner, American Pale Lager, California Common/Steam Beer, and American Light Lager), which aficionados often associate with mass-produced offerings (Barlow et al., 2018). Next, beers with names that are clearly tied to craft brewing's underlying authenticity codes enjoy increased audience appeal even after accounting for underlying quality (Verhaal et al., 2015); we thus control for *Oppositional Beer Name Dummy*, taking a value of 1 when the name of the beer invokes this identity.

Organizational controls. Past successes and expert recognition of a brewery likely affect the appeal of its beers. To account for this, we created the variable *Discounted Brewery Cumulative Medals Won*, measured as the cumulative number of medals that a brewery has won at the Great American Beer Festival. We discounted medals won by 20% annually to reflect that recent medals are likely stronger contributors to audience perceptions of success than those received in the more distant past, though our results also hold without discounting.

To create a proxy for brewery age, we calculated *Years Since First Review (Brewery)*, essentially a count of the number of years that the brewery has been present on the website. We also controlled for the number of different beers and beer styles that a brewery produces, which has been found to indicate authenticity and thus appeal in the craft beer industry (Verhaal et al., 2017). Thus, we include *Brewery Cumulative Beer Style Count*, which measures the cumulative number of beer styles for which a brewery has received at least one rating. Even though all of the breweries in our dataset produce less than six million barrels annually, smaller-scale production is still prized by this market, generating a hierarchal mode of valuation, and may influence appeal. We thus measure the logged number of barrels produced by each brewery annually, included as *Annual Barrel Production (Ln)*.

Industry controls. Growth in the number of products available in a particular category on the market may drive both legitimation and competition processes, and consequently ratings. The variable *Density of Beers*, or the total number of beers that received at least one review on *BeerAdvocate* in a given year, accounts for this influence; the variable is divided by 1,000 to facilitate interpretation of the coefficients. To account for the effect of other temporal differences on beer appeal, we

included year dummies in all models. To control for the impact of state-level differences in alcohol regulation and consumption patterns, we added state dummies throughout. Finally, to control for systematic characteristic and consumer preference differences across different beer styles, we also included beer style dummies in all models.

Model specification. Our dataset is an unbalanced panel with varying annual observations for each beer. When testing our hypotheses, we consider the possibility that each beer's observations are auto-correlated across years because of permanent but unobserved brewery-level characteristics, which represents a violation of the assumption of independence across observations necessary for *ordinary least squares regression*. To address this, we used a population-average technique, the method of generalized estimating equations (GEE), which allows us to model the variance both between beers and across time for each beer. Introduced by Liang and Zeger (1986) and Zeger, Liang, and Albert (1988), GEE estimators produce consistent, asymptotically normal solutions even in cases with misspecification of the covariance structure of the panel data (Sullivan, Haunschild, & Page, 2007). Consequently, GEE offers two advantages over fixed- or random-effect models when auto-correlation due to non-independence is present: it does not assume that the dependent variable is normally distributed; and it is more robust than other panel data specifications because it offers multiple correlation matrix structures to best match the data (Liang & Zeger, 1986). GEE is commonly used in analyses of longitudinal data with non-normal dependent variables (Ballinger, 2004). To further relax the assumption of independence of observations within a beer, we calculated robust standard errors clustered on a beer based on the Huber-White sandwich estimator (Huber, 1967; White, 1980), which is appropriate for using in GEE regressions because it is insensitive to the choice of GEE correlation structure (Katila & Chen, 2008).

Results

Descriptive statistics and bivariate correlations are presented in Table 1. As mentioned, our measures for *Brewery Total Reviewer Count* and *Yearly New Reviewer Count* are correlated at 0.75, unsurprising given that the latter is a subset of the former. Indeed, our theory hinges on the argument that it is precisely this subset—those who have reviewed for less than a year—that drives our expected effects. To test for multi-collinearity, we conducted a VIF analysis. The resulting VIF scores range from 6.71 to 1.01, with an average score of 2.61; well below a score of 10, which indicate a concern about multi-collinearity. To further ascertain if this correlation is biasing our results, we reran all models excluding *Brewery Total Reviewer Count*. All results and hypothesized effects hold.

The results of our main analyses are presented in Table 2. Model 2.1 represents a baseline model, and all controls are as expected and in line with findings in the extant literature mentioned prior. In model 2.2, we introduce the effect of new reviewer count, while simultaneously controlling for overall reviewer count for a given brewery. As expected, we find a strong positive effect for beers from breweries with a higher number of novice reviewers ($p < 0.001$). Furthermore, the effect for overall reviewer count (positive and highly significant in the baseline model) is not significant, suggesting that it is truly novice reviewers driving the effect of market growth on appeal. Model 2.3 tests this same effect while excluding our measure of overall reviewer count, and the coefficient remains positive and highly significant ($p < 0.001$). Taken together, these effects provide robust support for hypothesis 1.

Model 2.4 introduces our measure of craft brewery authenticity violator. While we do not formally hypothesize this effect, it provides a baseline finding for subsequent models and corroborates extant research on authenticity and identity code violations (Carroll & Swaminathan, 2000;

Table 1. Descriptive Statistics and Correlations.

Variable	Mean	Std. Dev.	Min	Max	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
(1) Beer Appeal	3.7	0.46	1	5	1										
(2) Beer Density (/1,000)	11.71	4.65	0	18.92	0.01	1									
(3) Beer Cumulative Medal Count	1.91	4.89	0	45.31	0.09	0.05	1								
(4) Brewery Time Since First Review	6.3	3.38	1	17	0	0.46	0.16	1							
(5) Brewery Cumulative Beer Style Count	6.31	2.5	1	12	0.13	0.2	0.35	0.49	1						
(6) American Lager Style Dummy	0.04	0.2	0	1	–0.24	–0.04	–0.02	0	–0.05	1					
(7) Beer Oppositional Name Dummy	0.08	0.27	0	1	0.09	0.04	0.01	0.08	0.02	0	1				
(8) Brewery Ln Yearly Barrel Production	8.11	1.99	0	14.73	0.01	0.06	0.29	0.52	0.31	0.06	0.1	1			
(9) Craft Brewery Violator	0.08	0.27	0	2	–0.09	–0.02	–0.01	0.11	0.02	0.11	0.02	0.21	1		
(10) Brewery Total Reviewer Count (/100)	7.13	15.82	0.01	130.6	0.11	0.25	0.19	0.51	0.28	–0.02	0.1	0.55	0.09	1	
(11) Brewery New Reviewer Count (/10)	5.9	15.15	0	162.7	0.12	0.13	0.2	0.31	0.21	–0.02	0.09	0.54	0.05	0.75	1

Table 2. GEE Estimates of Identity Movement Growth and (New) Reviewer Count on Beer Appeal for Violators of Craft Beer Identity.

	M2.1	M2.2	M2.3	M2.4	M2.5	M2.6
Beer Density (/1,000)	–0.002+	0.000	0.000	0.001	0.001	0.001
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Beer Cumulative Medal Count	0.006***	0.006***	0.006***	0.006***	0.006***	0.006***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Brewery Time Since First Review	–0.015***	–0.013***	–0.013***	–0.013***	–0.013***	–0.013***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Brewery Cumulative Beer Style Count	0.016***	0.015***	0.015***	0.015***	0.014***	0.014***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
American Lager Style Dummy	–0.469***	–0.467***	–0.467***	–0.455***	–0.451***	–0.451***
	(0.023)	(0.023)	(0.023)	(0.023)	(0.023)	(0.023)
Beer Oppositional Name Dummy	0.131***	0.129***	0.129***	0.131***	0.130***	0.130***
	(0.010)	(0.010)	(0.010)	(0.010)	(0.010)	(0.010)
Brewery Ln Yearly Barrel Production	–0.006**	–0.009***	–0.009***	–0.007**	–0.007**	–0.007**
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)
Brewery Total Reviewer Count (/100)	0.002***	0.000				–0.000
	(0.000)	(0.000)				(0.000)
Brewery New Reviewer Count (/10)		0.002***	0.002***	0.002***	0.002***	0.002***
		(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Craft Brewery Violator				–0.098***	–0.132***	–0.132***
				(0.011)	(0.013)	(0.013)
Brewery Violator × New Reviewer Count					0.004***	0.004***
					(0.001)	(0.001)
Constant	3.923***	3.907***	3.906***	3.891***	3.898***	3.897***
	(0.066)	(0.065)	(0.065)	(0.063)	(0.063)	(0.064)
Beer Style Dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes
State Dummies	Yes	Yes	Yes	Yes	Yes	Yes
Wald Chi Square	2,378.42	2,501.14	2,481.12	2,563.67	2,598.73	2,618.99
Scale Parameter	0.1541	0.1532	0.1532	0.1524	0.1521	0.1521
Number of Beer-Year Observations	45,253	45,253	45,253	45,253	45,253	45,253
Degrees of Freedom	80	81	80	81	82	83

*Significant at the 0.05 level; ** significant at the 0.01 level; *** significant at the 0.001 level.
Robust standard errors are in parentheses.

Frake, 2016). It also confirms the notion that organization-level norm violations influence product-level evaluations. The coefficient for the main effect of brewery violator is negative and also highly significant.

In model 2.5, we interact our measure of novice reviewer count with our measure of breweries deemed identity violators. As predicted, the effect is positive and highly significant, suggesting that breweries violating categorical norms are penalized less as they are reviewed by more novice reviewers.[7] For example, for breweries that have a relatively low number of novice reviewers in a given year, average beer appeal is roughly 7% lower for identity violators. As the number of novice reviewers grows, however, the appeal penalty attributed to identity violations essentially disappears. Figure 2 demonstrates this effect visually, showing convergence across the range of identity

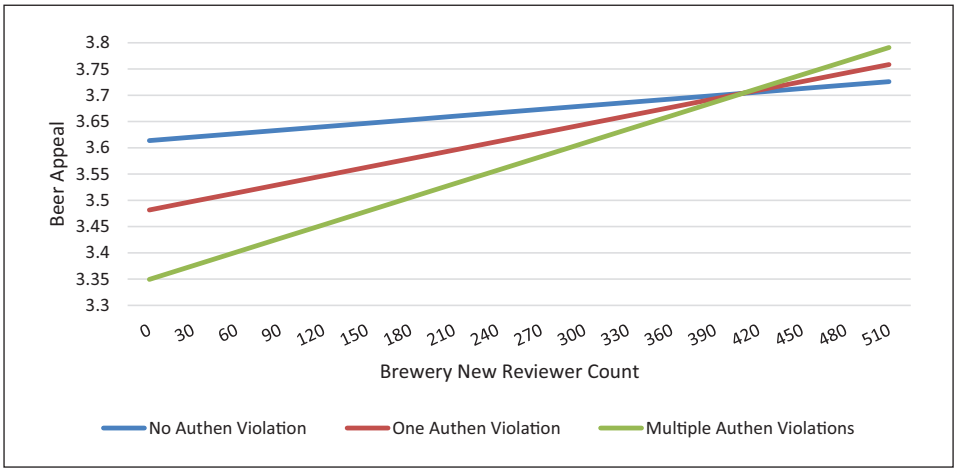


Figure 2. Impact of New Reviewer Count on Beer Appeal Score for Craft Breweries by Degree of Authenticity Violation.
* The range of the x-axis is limited to three standard deviations above the mean.

violations. Importantly, Figure 2 also suggests that as new reviewer count increases, the appeal scores of identity violators actually surpass those of non-violators. We believe this to be an artefact of the data, as the novice reviewer count variable is highly skewed and few breweries have extremely high numbers (thus, we limit the range of the x-axis in this figure to three standard deviations above the mean). This suggests that the appeal penalty for identity violators becomes salient as more novice reviewers weigh in. In practical terms, for craft breweries without authenticity violations, a 10% increase in the number of unique reviewers engenders an increase of roughly 1% in the appeal of their beers. For breweries with multiple violations, in contrast, a similar increase in exposure leads to an increase in beer appeal of almost 5% (a nearly five-fold increase). These results provide strong support for hypothesis 2.

The magnitude of the effect for the interaction with novice reviewers, particularly for breweries with multiple violations, suggests that it is specifically this cohort giving increasingly favorable reviews to breweries violating authenticity norms. Note that these effects are not in absolute terms but are relative to the benefit that non-violators receive from novice reviewers. That is, it appears that novice reviewers give authenticity violators a pass for engaging in behaviors that were once deemed highly questionable, and which are still penalized by experienced reviewers.

Additional analyses

Like all studies, there may be plausible alternative explanations for our empirical findings. We ran a number of additional analyses to both rule out alterative explanations and validate our current measures and empirical estimations. First, the theoretical rationale for our study rests on the assumption that product evaluations are influenced by norm violations at the organizational level. In our empirical context, prior research shows that, when evaluating individual beers, reviewers are biased based on their perceptions of the breweries that produced them (Barlow et al., 2018; Frake, 2016).

To validate this assumption, accounting for both beer and brewery-level norm violations, we reran all of our models, substituting our craft brewery norm violation measure with a product-level

Table 3. GEE Estimates of New Reviewer Count on Beer Appeal for Product and Brewery Level Violations.

	M3.1	M3.2	M3.3	M3.4
Beer Density (/1,000)	0.001	0.001	–0.001	0.001
	(0.001)	(0.001)	(0.001)	(0.001)
Brewery Cumulative Medal Count	0.007***	0.006***	0.006***	0.006***
	(0.001)	(0.001)	(0.001)	(0.001)
Brewery Time Since First Review	–0.012***	–0.013***	–0.015***	–0.013***
	(0.001)	(0.001)	(0.001)	(0.001)
Brewery Cumulative Beer Style Count	0.014***	0.014***	0.014***	0.013***
	(0.001)	(0.001)	(0.001)	(0.001)
Beer Oppositional Name Dummy	0.151***	0.146***	0.152***	0.151***
	(0.011)	(0.010)	(0.011)	(0.010)
Brewery Ln Yearly Barrel Production	0.000	–0.009***	–0.002	–0.006**
	(0.002)	(0.002)	(0.002)	(0.002)
Product Level Violator (Am Lager Dummy)	–0.453***	–0.475***		
	(0.023)	(0.024)		
Brewery Level + Product Level Violator			–0.244***	–0.247***
			(0.012)	(0.012)
Brewery New Reviewer Count (/10)		0.002***		0.002***
		(0.000)		(0.000)
Product Level Violator × New Reviewer Count		0.004***		
		(0.001)		
Brewery + Product Violator × New Reviewer Count				0.004***
				(0.001)
Constant	3.806***	3.892***	3.877***	3.861***
	(0.067)	(0.067)	(0.069)	(0.069)
Beer Style Dummies	Yes	Yes	Yes	Yes
Year Dummies	Yes	Yes	Yes	Yes
State Dummies	Yes	Yes	Yes	Yes
Wald Chi Square	2,243.29	2,500.88	2,327.98	2,617.57
Scale Parameter	0.1560	0.1531	0.1550	0.1519
Number of Beer-Year Observations	45,253	45,253	45,253	45,253
Degrees of Freedom	79	81	80	82

*Significant at the 0.05 level; ** significant at the 0.01 level; *** significant at the 0.001 level.
Robust standard errors are in parentheses.

norm violation measure: whether the focal beer was an American lager style beer. (NB: this is also a control in our main models.) In Table 3, results in models 3.1 and 3.2 remain consistent with all hypothesized effects in our main models. As expected, an increase in the number of novice reviewers positively moderates this negative effect. We then created a norm violation measure that accounted for both product-level and organizational-level norm violations concomitantly, essentially adding the American lager dummy to our count measure of authenticity norm violations. Models 3.3 and 3.4 rerun our main findings using this combined norm violation measure; as before, all hypotheses are supported.

Next, because our identity violator measure is a composite of multiple potential violations, one of these identity violations may be driving the overall effect. To test this conjecture, we broke this

measure into three separate dummy variables for each violation and ran them in separate models. All effects hold in line with the composite measures (tables available upon request). Thus, it is not simply the cumulative effect of multiple violations that drives lower appeal, but also each individual violation in the minds of reviewers.

Finally, it is possible that individual reviewer characteristics may influence the dynamics that we develop in this study. For example, changing consumer demographics—especially age and gender—have been a prevalent theme in numerous industry-level reports over the last decade.[8] An enduring feature of online review forums, however, is the relative anonymity that they provide when writing and submitting reviews, which is problematic for data demographics. Nevertheless, we were able to collect age and gender data from roughly 30% of the reviewers in our sample—specifically, those reviewers that chose to make their user profile publicly available on the *Beer Advocate* website, allowing us to calculate (at the level of the website) the *yearly average reviewer age* for new reviewers at the time they joined the website, and the *yearly number of new female members* who joined the website. We also added a control for the *yearly average reviewer experience* for a given brewery (which includes all reviewers on the website). After controlling for all of these reviewer-level characteristics, we reran our fully saturated main model, and all effects held as before (tables are available upon request).

Discussion and Conclusions

A robust body of organizational scholarship argues that audience perceptions of market actors' authenticity offer producers a key competitive advantage (Carroll & Wheaton 2009; Demetry, 2019; Frake, 2016; Hahl, 2016; Lehman et al., 2014). Using a comprehensive, longitudinal dataset of consumer ratings of craft beer, a field long-studied by organizational theorists, we demonstrate that growth in the number of consumers participating in the market affects average evaluations, particularly with respect to penalties for violating categorical authenticity norms that had taken on rule-like standing prior (Carroll, 2015; Hannan et al., 2007; Pólos, Hannan, & Carroll, 2002), even in the presence of violations. Therefore, we conclude that while institutionalized definitions of categorical authenticity may be largely static, consumers' orientations toward such definitions shift as the population grows.

These findings suggest that concerns for authenticity as a market-organizing principle vary as the consumer base grows, extending and enriching an important recent finding (Frake, 2016). Our results are consistent with recent research differentiating among evaluators (Beck et al., 2019; Beck & Wezel, 2012; Goldberg et al., 2016; Pontikes, 2012) and indicate that mere numeric growth of evaluators reduces the cost of perceived violations for category-spanning producers. Moreover, we find this effect is driven by changes in new reviewers' consideration of authenticity violations rather than in the evaluative schemata of more experienced reviewers, such that the two groups sustain different understandings of categorical authenticity. Thus, growth in the category led to diversity in how audiences judge authenticity, reducing collective attention to the producer identity markers that previously directed consumer evaluations.

We believe our results stem from differences between early- and late-adopting craft beer drinkers. Echoing Bennett's (2013) study of punk fans, our results suggest that early adherents were interested in the categorical purity, small scale, and production processes rooted in alternative and/or oppositional identities, and that those who joined later had qualitatively different concerns, perhaps motivated more by subjective taste, product characteristics, or idiosyncratic preferences. This may be due to the composition of new craft beer drinkers, who may be demographically or otherwise different from early adherents, but the more parsimonious explanation is that as the category became established, it became taken-for-granted to the extent that new evaluators are simply less

vigilant around categorical authenticity boundaries (Rosa et al., 1999). The import placed on authenticity, though fairly static among producers and veteran evaluators, is thus understood differently due to category erosion.

One might presume that the relationship between the number of craft beer drinkers and their evaluations could be driven by a brewery's popularity or geographic breadth of distribution rather than reviewer status. The more people know and believe others like a particular beer, the more likely they are to drink and evaluate it, and the higher the score they are likely to assign it. While that intuition seems logical and has been demonstrated in studies of status bias and social influence in judgment of some cultural products (Kim & King, 2014; Pedeliento et al., 2020; Ren, 2021), it contradicts recent research that finds that in some fields, new reviewers sometimes flock to, but are harsher evaluators for, an award-winning cultural object (Kovács & Sharkey, 2014). If new craft beer drinkers were similar, we would expect to see lower ratings, but instead we find that beers that win competitive awards actually receive higher evaluations.

One might also suppose an alternative explanation based on endogenous matching of reviewers with types of beer. Indeed, someone who is angry about corporate buyouts might decide to avoid beers from those breweries. We do not assume complete overlap among enthusiasts who taste and evaluate available beers, such that individualized sorting might indeed occur, particularly as more heterogeneous and experientially-diverse consumers join reviewing websites. At the same time, our data reveal that longstanding reviewers have not stopped reviewing new beers produced by mid-level breweries on the definitional cusp of craft. We believe our results demonstrate category erosion and that heterogeneous evaluators explain declining penalties to authenticity, not selection bias; future research might address changes to the legitimacy and status of veteran reviewers over time. We note that prior research finds that committed online reviewers in other fields are motivated to help producers, inform other consumers, and fulfill their own needs for self-enhancement and entertainment (Tong, Wang, Tan, & Teo, 2013; Yoo & Gretzel, 2008), suggesting breadth and relative honesty in their product evaluations. And, as users of online forums become more experienced, they tend to give harsher ratings to the worst-rated products (McAuley & Leskovec, 2013), which shows that they are still in the pool even if their preferences change.

One might also imagine that the effects we identify were driven by specialist producers having learnt from feedback and improved their beer quality or varied their offerings over time to serve the purported tastes of devotees. If that were the case, we would also expect experienced reviewers' ratings to creep upward over time, whereas our models show quite the opposite. It appears to be not changes to the beers themselves, but rather to the reviewer pool and their evaluative schemata that are consequential. Here, theories that suggest that producer authenticity is significant to niche dissolution in other cultural markets prove of particular interest (McKendrick & Hannan, 2014; Pedeliento et al., 2020). Diffusion-related and status-related variables, such as perceived benefits and social influence (Strang & Meyer, 1993; Ren, 2021), can also be linked here to ostensible consumer acceptance of categories with eroded boundaries.

Our findings suggest that craft beer drinkers have facilitated the watering down of penalties to authenticity violations due to category erosion and heterogeneous audiences, broadening notions of acceptable taste. While it is beyond the scope of our data, the persistence of a negative effect for authenticity violations suggests that many cultural operators, new and old, take pride in their gatekeeping role in categorization work (Coslor, Crawford, & Leyshon, 2020). Thus, we contribute to research on the organizational context of authenticity by showing that the size and composition of a consumer base are consequential to shifting market contexts. Future research in this vein could examine if and how these effects reduce organizations' needs

to exert resources to anticipate or avert challenges to perceptions of their authenticity or to exploit these effects as opportunities.

In craft markets, in particular, new niches may grow to the point that the modal consumer no longer identifies as ardent but, rather, a more casual partaker. We find that, just as people vary in how they relate to communities of consumption and specific organizations' trajectories (Bhattacharya & Sen, 2003; Dutton, Dukerich, & Harquail, 1994), commitment to a niche shifts as the market grows, altering the degree to which producers must attend to espoused authenticity norms. The very success of a category may thus compromise its ultimate longevity through erosion into adjacent categories over time. Future research might examine the mechanisms and conditions that encourage oppositional movements to become the new mainstream.

Limitations

While our results are robust and support our theory, we acknowledge that our analysis suffers from some limitations, primarily driven by data availability. First, while evaluations are measured at the beer level and our analysis is run at the brewery level, we note that prior research demonstrates that firm-level authenticity violations lead to lower reviews of individual products (Barlow et al., 2018; Frake, 2016; Negro, et al., 2010, 2011). Thus, we believe that our analysis appropriately tests our hypotheses. In addition, we argue—and our analysis suggests—that it is new reviewers who drive reinterpretation of these norms. Ideally, we could analyze reviewer-level demographics, qualitative preferences, or psychological processes to explore the mechanisms driving these changes more precisely. In the absence of such data, however, we must draw inferences and speculate as to the precise mechanism underlying our results.

We *can* observe when reviewers make different consumption choices over time, which diffusion theory suggests reveals something about their identities. Specifically, early adopters across fields often have idiosyncratic, outsider tastes (e.g., Leblebici et al., 1991; Lena, 2015); those drawn to specialist goods only after the niche has expanded and its oppositional identity has become more mainstream (Lena, 2012). The fine-grained underpinnings of these changes provide an avenue for future research.

We also acknowledge that our data end in 2012 and that the market has since evolved to include increasing numbers of brewery norm violations, particularly around acquisitions, and an influx of new craft beer drinkers. More data would only give us more statistical power to test our hypotheses, which anecdotally appear to have been borne out over time; we expect our effects would continue to grow alongside the expanding density of craft brewers and drinkers. The effects we observe therefore represent a conservative test of one stage in a more general process of categorical evolution and an important analysis of the early stages of this industry.

Finally, we note scope conditions to our findings. Our research, and much of the theory motivating it, was conducted within a craft-oriented cultural goods industry and its applicability to other fields is unproven. We imagine our effects would not hold for goods that are so niche or specialist that they fail to attract new consumers in large numbers. For example, while established luxury goods like Steinway pianos or tailored Italian leather goods may be subject to intrusion from adjacent categories, such categories are unlikely to grow to the point of mass production and consumption—imitations or down-market variants represent essentially different products. Further, field-level contingencies like the presence of a certifying body may also moderate our effects, because such enforcement may create formal or institutional pressure to maintain categorical purity and potency. Future research may investigate such impacts, which are beyond the scope of this study.

Conclusion

While supporting the assertion that categorical authenticity violations are penalized by consumers (Carroll et al., 2002; Carroll & Swaminathan, 1992; Frake, 2016), our contribution expands our understanding of organizational authenticity by incorporating an important boundary condition: as the population engaging with a novel category grows, its level of concern with policing categorical purity declines. Recent reporting about craft beer from popular sources proves instructive in this regard. A 2017 survey by industry website Brewbound and Nielsen Research, for instance, found that 81% of craft beer drinkers were familiar with the terms "independent" and "independently owned" but did not necessarily choose beers based on brewery ownership (Kendall, 2017). A different 2017 survey, conducted by research group UBS, found that nearly half of respondents said independent ownership does not matter when choosing a craft beer, and only 30% called it "extremely important" (Taylor, 2017). Similarly, a popular beer blogger (Roth, 2017) recently noted that many new drinkers are simply disengaged:

> The hardcore craft beer drinker is bothered. But they're a small proportion. . . The majority of people don't know, the person on the street doesn't know. . .. people don't care. People want the major brewers to produce more craft beer. . .It doesn't have to be about being small; it's about good quality beer.

Our findings refine our theoretical appreciation of how consumer understandings, attitudes, and value judgments shift relative to categorical norms of authenticity. Our work contributes to the study of the fluidity of consumer communities, craft markets, and online evaluation forums alongside relevant recognition that contemporary consumers actively produce value for organizations as well as for each other (Beverland & Farrelly, 2010). Finally, our findings suggest that markets and identities can sometimes be watered down not by rejection, but because of their own success: once an oppositional identity becomes accepted as canon, the revolution may well be over.

Funding

The author(s) received no financial support for the research, authorship, and/or publication of this article.

ORCID iDs

Jo-Ellen Pozner https://orcid.org/0000-0002-5063-0911

Michaela DeSoucey https://orcid.org/0000-0003-1183-402X

J. Cameron Verhaal https://orcid.org/0000-0002-6681-2664

Notes

1. At that time, craft brewers were defined as those producing less than 2 million barrels per year.
2. In fact, Sam Adams's growth has repeatedly led the Brewers Association to raise its barrel-production limit. See https://www.eater.com/2019/5/10/18564328/boston-beer-company-dogfish-head-craft-brewery-merger.
3. The Brewers Association raised this threshold in December 2010 from 2 million barrels per year, in a controversial move. The production limit was raised to include large regional breweries like Boston Beer Company (i.e., Sam Adams) whose production approached the limit.
4. https://www.brewersassociation.org/press-releases/craft-vs-crafty-a-statement-from-the-brewers-association/
5. NB: although all brewers in our sample began as craft brewers, according to Brewers Association's definitions, some violated various aspects of that definition during our observation window.
6. We also ran our main models using a cumulative reviewer count for beers, rather than for breweries. All results hold using this alternative specification.

7. As an additional robustness check (available upon request), we ran a three-way interaction with overall reviewer count, new reviewer count, and identity violator. As expected, the interaction is positive and significant, the main effect for overall reviewer count is not significant, and the other two controls remain significant and in the expected direction. This supports the notion that while reviewer dynamics play a role in shaping how identity violations are judged in the craft beer industry, it is novice reviewers that are re-shaping the process.
8. Hertz, Julia (2016). Today's Craft Beer Lovers: Millennials, Women and Hispanics. https://www.brewersassociation.org/communicating-craft/understanding-todays-craft-beer-lovers-millennials-women-hispanics/

References

Ballinger, Gary A. (2004). Using generalized estimating equations for longitudinal data analysis. *Organizational Research Methods*, *7*, 127–150.

Barlow, Matthew A., Verhaal, J. Cameron, & Hoskins, Jake D. (2018). Guilty by association: Product-level category stigma and audience expectations in the U.S. craft beer industry. *Journal of Management*, *44*, 2934–2960.

Bass, Frank (1969). A new product growth for model consumer durables. *Management Science*, *15*, 215–227.

Battilana, Julie, & Dorado, Silvia (2010). Building sustainable hybrid organizations: The case of commercial microfinance organizations. *Academy of Management Journal*, *53*, 1419–1440.

Beck, Nikolaus, Swaminathan, Anand, Wade, James B., & Wezel, Filippo Carlo (2019). Industry clusters and organizational prototypes: Evidence from the Franconian brewing industry. *Journal of Management*, *45*, 2978–3008.

Beck, Nikolaus, & Wezel, Filippo Carlo (2012). May I join the club? On the architecture of code systems and the success of strategic diversification. *Strategic Organization*, *10*, 324–329.

Bennett, Andy (2013). *Music, style, and aging: Growing old disgracefully?* Philadelphia, PA: Temple University Press.

Beverland, Michael, & Farrelly, Francis J. (2010). The quest for authenticity in consumption. *Journal of Consumer Research*, *36*, 838–856.

Bhattacharya, C. B., & Sen, Sankar (2003). Consumer–company identification: A framework for understanding consumers' relationships with companies. *Journal of Marketing*, *67*, 76–88.

Bland, Alastair (2014, May 28, 2014). Big breweries move into small beer town – and business is hopping. *NPR Blog*. www.npr.org/blogs/thesalt/2014/05/28/316317087/big-breweries-move-into-small-beer-town-and-business-is-hopping

Borer, Michael Ian (2019). *Vegas brews: Craft beer and the birth of a local scene*. New York: New York University Press.

Carroll, Glenn R. (1985). Concentration and specialization: Dynamics of niche width in populations of organizations. *American Journal of Sociology*, *90*, 1262–1283.

Carroll, Glenn R. (2015). Authenticity: Attribution, value, and meaning. In Robert A. Scott & Stephen M. Kosslyn (Eds.), *Emerging trends in the social and behavioral sciences*. New York: Wiley.

Carroll, Glenn R., Dobrev, Stanislav, & Swaminathan, Anand (2002). Organizational processes of resource partitioning. *Research in Organizational Behavior*, *24*, 1–40.

Carroll, Glenn R., & Hannan, Michael T. (2000). *The demography of corporations and industries*. Princeton, NJ: Princeton University Press.

Carroll, Glenn R., Preisendoerfer, Peter, Swaminathan, Anand, & Wiedenmayer, Gabriele (1993). Brewery and Brauerei: The organizational ecology of brewing. *Organization Studies*, *14*, 155–188.

Carroll, Glenn R., & Swaminathan, Anand (2000). Why the microbrewery movement? Organizational dynamics of resource partitioning in the us brewing industry. *American Journal of Sociology*, *106*, 715–762.

Carroll, Glenn R., & Swaminathan, Anand (1991). Density dependent organizational evolution in the American brewing industry from 1633 to 1988. *Acta Sociologica*, *34*, 155–175.

Carroll, Glenn R., & Swaminathan, Anand (1992). The organizational ecology of strategic groups in the American brewing industry from 1975 to 1990. *Industrial and Corporate Change*, *1*, 65–97.

Carroll, Glenn R., & Wheaton, Dennis Ray (2009). The organizational construction of authenticity. *Research in Organizational Behavior*, *29*, 255–282.

Chapman, Nathaniel, Lellock, J. Slade, & Lippard, Cameron (Eds.) (2017). *Untapped: Exploring the cultural dimensions of craft beer*. Morgantown, WV: West Virginia University Press.

Coslor, Erica, Crawford, Brett, & Leyshon, Andrew (2020). Collectors, investors and speculators: Gatekeeper use of audience categories in the art market. *Organization Studies*, *41*, 945–967.

Cruz, Margarita, Beck, Nikolaus, & Wezel, Filippo Carlo (2018). Grown local: Community attachment and market entries in the Franconian beer industry. *Organization Studies*, *39*, 47–72.

Currid-Halkett, Elizabeth (2017). *The sum of small things: A theory of the aspirational class*. Princeton, NJ: Princeton University Press.

Demetry, Daphne (2019). How organizations claim authenticity: The coproduction of illusions in underground restaurants. *Organization Science*, *30*, 937–960.

DeSoucey, Michaela, & Demetry, Daphne (2016). The dynamics of dining out in the 21st century: Insights from organizational theory. *Sociology Compass*, *10*, 1014–1027.

Dobrev, Stanislav D., Kim, Tai-Young, & Hannan, Michael T. (2001). Dynamics of niche width and resource partitioning. *American Journal of Sociology*, *106*, 1299–1337.

Durand, Rodolphe, & Khaire, Mukti (2017). Where do market categories come from and how? Distinguishing category creation from category emergence. *Journal of Management*, *43*, 87–110.

Durand, Rodolphe, & Paolella, Lionel (2013). Category stretching: Reorienting research on categories in strategy, entrepreneurship, and organization theory. *Journal of Management Studies*, *50*, 1100–1123.

Dutton, Jane E., Dukerich, Janet M., & Harquail, Celia V. (1994). Organizational images and member identification. *Administrative Science Quarterly*, *39*, 239–263.

Frake, Justin (2016). Selling out: The inauthenticity discount in the craft beer industry. *Management Science*, *63*, 3531–3997.

Gaytán, Marie Sarita (2019). Extending authenticity: Going corporate in a craft market. *Poetics*, *77*, 101380.

Goldberg, Amir, Hannan, Michael T., & Kovács, Balázs (2016). What does it mean to span cultural boundaries? Variety and atypicality in cultural consumption. *American Sociological Review*, *81*, 215–241.

Grayson, Kent, & Martinec, Radan (2004). Consumer perceptions of iconicity and indexicality and their influence on assessments of authentic market offerings. *Journal of Consumer Research*, *31*, 296–312.

Greve, Henrich R., Pozner, Jo-Ellen, & Rao, Hayagreeva (2006). Vox populi: Resource partitioning, organizational proliferation, and the cultural impact of the insurgent microradio movement. *American Journal of Sociology*, *112*, 802–837.

Grodal, Stine (2018). Field expansion and contraction: How communities shape social and symbolic boundaries. *Administrative Science Quarterly*, *63*, 783–818.

Hahl, Oliver (2016). Turning back the clock in baseball: The increased prominence of extrinsic rewards and demand for authenticity. *Organization Science*, *27*, 929–953.

Hannan, Michael T., Carroll, Glenn R., & Pólos, László (2003). The organizational niche. *Sociological Theory*, *21*, 309–340.

Hannan, Michael, Le Mens, Gaël, Hsu, Greta, Kovács, Balázs, Negro, Giacomo, Pólos, László, Ponkites, Elizabeth, & Sharkey, Amanda (2019). *Concepts and categories: Foundations for sociological and cultural analysis*. New York: Columbia University Press.

Hannan, Michael T., Pólos, László, & Carroll, Glenn R. (2007). *Logics of organization theory: Audiences, codes, and ecologies*. Princeton, NJ: Princeton University Press.

Hsu, Greta (2006). Jacks of all trades and masters of none: Audiences' reactions to spanning genres in feature film production. *Administrative Science Quarterly*, *51*, 420–450.

Hsu, Greta, & Grodal, Stine (2015). Category taken-for-grantedness as a strategic opportunity: The case of light cigarettes, 1964 to 1993. *American Sociological Review*, *80*, 28–62.

Hsu, Greta, & Hannan, Michael T. (2005). Identities, genres, and organizational forms. *Organization Science*, *16*, 474–490.

Hsu, Greta, Hannan, Michael T., & Koçak, Özgecan (2009). Multiple category memberships in markets. *American Sociological Review*, *74*, 150–169.

Hsu, Greta, Hannan, Michael T., & Pólos, László (2011). Typecasting, legitimation, and form emergence: A formal theory. *Sociological Theory*, *29*, 97–123.

Huber, Peter J. (1967). *The behavior of maximum likelihood estimates under nonstandard conditions*. Paper presented at the Proceedings of the Fifth Berkeley Symposium on Mathematical Statistics and Probability.

Katila, Riitta, & Chen, Eric L. (2008). Effects of search timing on innovation: The value of not being in sync with rivals. *Administrative Science Quarterly*, *53*, 593–625.

Kellogg, Katherine (2012). Making the cut: Using status-based countertactics to block social movement implementation and microinstitutional change in surgery. *Organization Science*, *23*, 1546–1570.

Kendall, Justin (2017). Brewbound, Nielsen study reveals 'independence' matters. www.brewbound.com/news/brewbound-nielsen-study-reveals-independence-matters.

Kim, Jerry, & King, Brayden (2014). Seeing stars: Matthew effects and status bias in Major League Baseball umpiring. *Management Science*, *60*, 2619–2644.

Koontz, Amanda, & Chapman, Nathaniel (2019). About us: Authenticating identity claims in the craft beer industry. *Journal of Popular Culture*, *52*, 351–372.

Kovács, Balázs, & Hannan, Michael T. (2015). Conceptual spaces and the consequences of category spanning. *Sociological Science*, *2*, 252–286.

Kovács, Balázs, & Sharkey, Amanda J. (2014). The paradox of publicity: How awards can negatively affect the evaluation of quality. *Administrative Science Quarterly*, *59*, 1–33.

Leblebici, Huseyin, Salancik, Gerald R., Copay, Anne, & King, Tom (1991). Institutional change and the transformation of interorganizational fields. *Administrative Science Quarterly*, *36*, 333–363.

Lehman, David, Kovács, Balázs, & Carroll, Glenn R. (2014). Conflicting social codes and organizations: Hygiene and authenticity in consumer evaluations of restaurants. *Management Science*, *60*, 2602–2617.

Lehman, David, O'Connor, Kieran, Kovács, Balázs, & Newman, George (2019). Authenticity. *Academy of Management Annals*, *13*(1), 1–42.

Le Mens, Gaël, Hannan, Michael T., & Pólos, László (2015). Organizational obsolescence, drifting tastes, and age dependence in organizational life chances. *Organization Science*, *26*, 550–570.

Lena, Jennifer (2012). *Banding together: How communities create genres in popular music*. Princeton, NJ: Princeton University Press.

Lena, Jennifer (2015). Toward a theory of emergence: Authenticity in culture fields. *Authenticity Workshop Presentation*, Stanford Graduate School of Business, May 9, 2015.

Leonard, Devin (2012). The plot to destroy America's beer. *Bloomberg Businessweek*. www.businessweek.com/articles/2012-10-25/the-plot-to-destroy-americas-beer

Liang, Kung-Yee, & Zeger, Scott (1986). Longitudinal data analysis using generalized linear models. *Biometrika*, *73*, 13–22.

Luca, Michael (2011). *Reviews, reputation, and revenue: The case of Yelp.com*. Harvard Business School. Working Paper 12-016. www.hbs.edu/faculty/Publication%20Files/12-016_a7e4a5a2-03f9-490d-b093-8f951238dba2.pdf

Mathias, Blake D., Huyghe, Annelore, Frid, Casey J., & Galloway, Tera L. (2018). An identity perspective on coopetition in the craft beer industry. *Strategic Management Journal*, *39*, 3086–3115.

Mathias, Blake D., Huyghe, Annelore, & Williams, David W. (2020). Selling your soul to the devil? The importance of independent ownership to identity distinctiveness for oppositional categories. *Strategic Management Journal*, *41*, 2548–2584.

McAuley, Julian, & Leskovec, Jure (2013). *From amateurs to connoisseurs: Modeling the evolution of user expertise through online reviews*. Paper presented at the Proceedings of the 22nd International Conference on World Wide Web, Rio de Janeiro, Brazil.

McKendrick, David G., & Hannan, Michael T. (2014). Oppositional identities and resource partitioning: Distillery ownership in Scotch whisky, 1826–2009. *Organization Science*, *25*, 1272–1286.

Meyer, John W., Ramirez, Francisco O., & Soysal, Yasemin Nuhoglu (1992). World expansion of mass education, 1870–1980. *Sociology of Education*, *62*(2), 128–149.

Morris, Frank (2013). When craft beer goes global: A Kansas City brewery's tale. *Morning Edition, National Public Radio*. December 16. http://www.npr.org/blogs/thesalt/2013/12/16/250798096/when-craft-beer-goes-global-a-kansas-brewerys-tale

Negro, Giacomo, Hannan, Michael T., & Rao, Hayagreeva (2010). Categorical contrast and audience appeal: Niche width and critical success in winemaking. *Industrial and Corporate Change*, *19*, 1397–425.

Negro, Giacomo, Hannan, Michael T., & Rao, Hayagreeva (2011). Category reinterpretation and defection: Modernism and tradition in Italian wine making. *Organization Science*, *22*, 1449–1463.

Noel, Josh (2018). *Barrel-aged stout and selling out*. Chicago, IL: Chicago Review Press.

Ocejo, Richard (2017). *Masters of craft: Old jobs in the new urban economy*. Princeton, NJ: Princeton University Press.

Ody-Brasier, Amandine, & Vermeulen, Freek (2014). The price you pay: Price-setting as a response to norm violations in the market for champagne grapes. *Administrative Science Quarterly*, *59*, 109–144.

Pedeliento, Guiseppe, Andreini, Daniela, & Dalli, Daniele (2020). From mother's ruin to ginaissance: Emergence, settlement and resettlement of the gin category. *Organization Studies*, *41*, 969–992.

Peterson, Richard A. (1997). *Creating country music: Fabricating authenticity*. Chicago, IL: University of Chicago Press.

Pólos, László, Hannan, Michael T., & Carroll, Glenn R. (2002). Foundations of a theory of social forms. *Industrial and Corporate Change*, *11*, 85–115.

Pontikes, Elizabeth G. (2012). Two sides of the same coin: How ambiguous classification affects multiple audiences' evaluations. *Administrative Science Quarterly*, *57*, 81–118.

Rao, Hayagreeva, Monin, Philippe, & Durand, Rodolphe (2003). Institutional change in toque ville: Nouvelle cuisine as an identity movement in French gastronomy. *American Journal of Sociology*, *108*, 795–843.

Rao, Hayagreeva, Monin, Philippe, & Durand, Rodolphe (2005). Border crossing: Bricolage and the erosion of categorical boundaries in French gastronomy. *American Sociological Review*, *70*, 968–991.

Ravasi, Davide, & Rindova, Violina (2008). Symbolic value creation. In Daved Barry & Hans Hansen (Eds.), *The Sage handbook of new approaches in management and organization* (pp. 270–284). Thousand Oaks, CA: SAGE Publications.

Ren, Isabelle Yi (2021). Beyond the tipping point: The role of status in organizations' public narratives to mobilize support for change. *Organization Studies*, *42*, 195–221.

Rogers, Everett M. (1962 [2010]). *Diffusion of innovations*. New York: Simon & Schuster.

Rosa, Jose Antonio, Porac, Joseph F., Runser-Spanjol, Jelena, & Saxon, Michael (1999). Sociocognitive dynamics in a product market. *Journal of Marketing*, *63*(4, suppl 1), 64–77.

Roth, Bryan (2017). Beer's war of wordplay—the semantics of "craft" and "quality." http://goodbeerhunting.com/blog/2017/9/6/beers-war-of-wordplay-the-semantics-of-craft-and-quality

Sikavica, Katarina, & Pozner, Jo-Ellen (2013). Paradise sold: Standards, social movement identification and competition in identity-partitioned markets. *Organization Studies*, *34*, 623–651.

Siltaoja, Marjo, Lähdesmaki, Merja, Granqvist, Nina, Kurki, Sami, Puska, Petteri, & Luomala, Harri (2020). The dynamics of (de)stigmatization: Boundary construction in the nascent category of organic farming. *Organization Studies*, *41*, 993–1018.

Strang, David, & Meyer, John (1993). Institutional conditions for diffusion. *Theory and Society*, *22*, 487–511.

Strom, Stephanie (2013). An ale admired, now owned. *New York Times*, October *18*, 2013.

Sullivan, Bilian Ni, Haunschild, Pamela, & Page, Karen (2007). Organizations non gratae? The impact of unethical corporate acts on interorganizational networks. *Organization Science*, *18*, 55–70.

Taylor, Kate (2017). Craft beer's argument for not selling out is totally flawed—and it's great news for Anheuser-Busch and Heineken. *Business Insider*. http://www.businessinsider.com/many-american-drinkers-dont-care-about-craft-beer-independence-2017-9

Tolbert, Pamela S., & Zucker, Lynne G. (1983). Institutional sources of change in the formal structure of organizations. *Administrative Science Quarterly*, *28*, 22–39.

Tong, Yu, Wang, Xinwei, Tan, Chuan-Hoo, & Teo, Hock-Hai (2013). An empirical study of information contribution to online feedback systems. *Information & Management*, *50*, 562–570.

Verhaal, J. Cameron, & Dobrev, Stanislav D. (2020). The authenticity paradox: Why the returns to authenticity on audience appeal decrease in popularity and iconicity. *Journal of Management*. Onlinefirst.

Verhaal, J. Cameron, Hoskins, Jake D., & Lundmark, Leif W. (2017). Little fish in a big pond: Legitimacy transfer, authenticity, and factors of peripheral firm entry and growth in the market center. *Strategic Management Journal*, *38*, 2532–2552.

Verhaal, J. Cameron, Khessina, Olga M., & Dobrev, Stanislav D. (2015). Oppositional product names, organizational identities, and product appeal. *Organization Science*, *26*, 1466–1484.
Wade, James B., Swaminathan, Anand, & Saxon, Michael S. (1998). Normative and resource flow consequences of local regulations in the American brewing industry, 1845–1918. *Administrative Science Quarterly*, *43*, 905–935.
Weber, Klaus, Heinze, Kathryn, & DeSoucey, Michaela (2008). Forage for thought: Mobilizing codes in the movement for grass-fed meat and dairy products. *Administrative Science Quarterly*, *53*, 529–567.
Westphal, James D., Gulati, Ranjay, & Shortell, Stephen M. (1997). Customization or conformity? An institutional and network perspective on the content and consequences of TQM adoption. *Administrative Science Quarterly*, *42*, 366–394.
White, Halbert (1980). A heteroskedasticity-consistent covariance matrix estimator and a direct test for heteroskedasticity. *Econometrica*, *48*, 817–838.
Wilson, Denis (2012). Big beer dresses up in craft brewers' clothing. *CNNMoney*. November 15. http://management.fortune.cnn.com/2012/11/15/big-beer-craft-brewers/
Wry, Tyler, Lounsbury, Michael, & Jennings, P. Devereaux (2014). Hybrid vigor: Securing venture capital by spanning categories in nanotechnology. *Academy of Management Journal*, *57*, 1309–1333.
Yenne, Bill (2003). *The American brewery: From colonial evolution to microbrew revolution*. Saint Paul, MN: MBI.
Yoo, Kyung Hyan, & Gretzel, Ulrike (2008). What motivates consumers to write online travel reviews? *Information Technology & Tourism*, *10*, 283–295.
Zeger, Scott L., Liang, Kung-Yee, & Albert, Paul S. (1988). Models for longitudinal data: A generalized estimating equation approach. *Biometrics*, *44*, 1049–1060.
Zerubavel, Eviatar (1996). Lumping and splitting: Notes on social classification. *Sociological Forum*, *11*, 421–433.
Zuckerman, Ezra W. (1999). The categorical imperative: Securities analysts and the illegitimacy discount. *American Journal of Sociology*, *104*, 1398–1438.
Zuckerman, Ezea W., Kim, Tai-Young, Ukanwa, Kalinda, & Von Rittmann, James (2003). Robust identities or nonentities? Typecasting in the feature-film labor market. *American Journal of Sociology*, *108*, 1018–1074.

Author biographies

Jo-Ellen Pozner is an Assistant Professor at the Leavey School of Business at Santa Clara University in Santa Clara, California, USA. Her research engages various intersections of markets and craft movements, including organic agriculture, craft beer, and bean-to-bar chocolate. She also conducts research in the areas of social evaluation, corporate governance, and organizational wrongdoing.

Michaela DeSoucey is an Associate Professor of Sociology at North Carolina State University in Raleigh, North Carolina, USA. Her interests include culture, food, markets, consumption, and more recently risk and trust. She is the author of *Contested Tastes: Foie Gras and the Politics of Food* (Princeton University Press, 2016).

J. Cameron Verhaal is an Assistant Professor at Tulane University in New Orleans, Louisiana, USA. His research focuses on the growth and competitive dynamics of small, entrepreneurial firms. Specifically, he is interested in how organizations in craft-based industries (such as beer, cigars, and other handmade products) manage growth, particularly when it undermines their identities or reputations as authentic, small scale, and/or traditional.

Katarina Sikavica is an affiliated researcher at the Department of Organization and Management, University of Zurich, Switzerland. Her research interests center on concerted organizational action and social movements from various types of stakeholders as they interact with firms.